

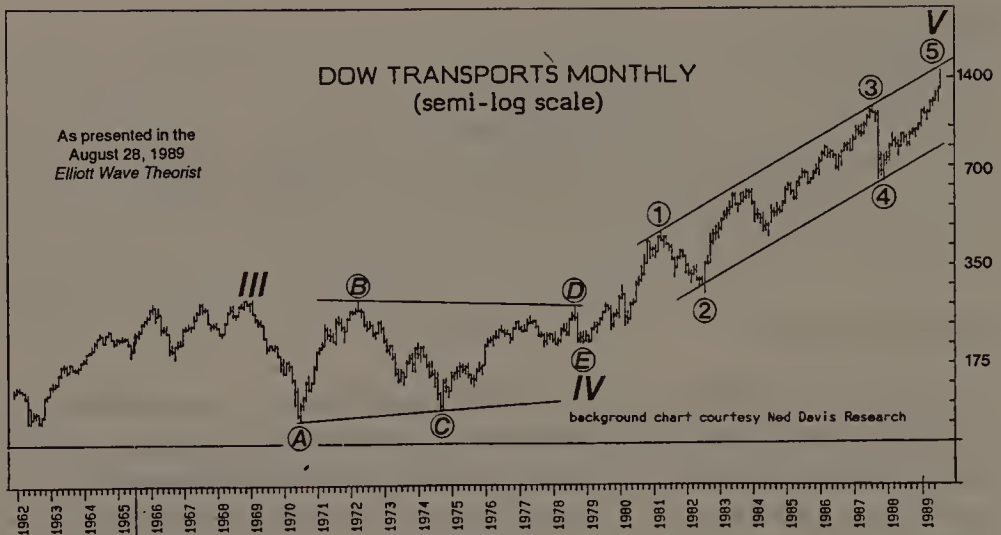


Figure 6-1

(see Figure 6-7). At that point, wave ⑤ had also gained a percentage approximately equal to that of wave ①, a typical relationship when the third wave is extended. *The Elliott Wave Theorist* added this firm conclusion a month later, on October 2:

The takeover speculation in a couple of airline stocks pushed that average slightly through its trendlines, typical behavior for an exhaustion move. The Transports then swiftly dropped over 100 points, leaving what appears to be a reversal on the chart. That this peak coincided with an all-time low [dividend] yield for any stock market index supports the case that a five wave rise of Cycle degree from 1980 has ended in this average.

Figure 6-2 is the final picture that *The Elliott Wave Theorist* showed at that top and provides yet another example of how a completed Elliott Wave pattern foreshadows trend change. From there, the Dow Jones Transportation Average fell precipitously, erasing 47.67% of its peak value in a Fibonacci 13 months. The last time the Industrial Average was cut in half in so short a time was in 1931-1932. That top also marked the peak in relative strength for the airline stocks, which have lagged the S&P ever since.

### Wave A Down

The subdivisions of the 13-month decline were clear enough that on February 5, 1990, after a 30% decline in 5 months and in the